

P.M.E [Unit -1]

PAGE NO.	
DATE	

* Management

Function of Management

- The process of planning, organizing, leading and controlling resources (human, financial, physical & info) efficiently and effectively to achieve organizational goals.
 - Management is the backbone of the organization.
 - Plays a crucial role in decision making, resource allocation and achieving productivity in business.
 - "Art of getting things done through people" [Harold Koontz]
- It's Importance —

- Goal Achievement ⇒ Helps in setting clear objectives and guiding the organization towards achieving them.
- Resource Allocation ⇒ Ensures optimal use of limited resources like time, money, manpower.
- Coordination & Integration ⇒ Unites all departments and functions for seamless operation.
- Productivity & Efficiency ⇒ Reduces waste, improves quality and increases output.

* Role of Management

1) Interpersonal Role :

Figurehead — Represents organization externally

Leader — Motivates & directs its members.

Liaison — Builds & maintains network within & outside organization.

2) Informational Role :

Monitor — Gathers info. from both internal & external sources.

Disseminator — Shares info. with members & stakeholders.

Spokesperson — Represents organization's interest to outsiders.

3) Decisional Roles :

- Entrepreneur - Initiates changes & innovation.
- Disturbance Handler - Deals with unexpected events.
- Resource Allocation - Allocates resource efficiently.
- Negotiator - Represents organization in negotiation.

* Functions of Manager

According to Henry Fayol

- 1) Planning -
 - Setting objectives and determining the best course of action to achieve them.
 - Provide roadmap for organization, guiding decision making and resource allocation.
- 2) Organizing -
 - Arranging tasks, people & resources to implement plan.
 - Involves creating a structure of roles & responsibilities.
- 3) Leading (Directing) -
 - Motivating, guiding and communicating with employees to achieve goals.
 - Includes leadership, communication and supervision.
- 4) Controlling -
 - Monitoring performance, compare it with reference and take actions accordingly.
 - Ensures to complete the objective.
- 5) Staffing -
 - Hiring and training employees.

* Levels of Management

→ Hierarchical Structure

Top Level

- Set Objective
- Plan strategies and make long-term decisions.
- Ex- CEOs, President
- Make policy

Middle Level

- Implements plan and strategies developed by top level management
- Ex- Dept. Head, Division Managers, Branch Manager with First Line Manag.
- Coordinate, allocate resources.

First Line (Supervisors)

- Oversee daily operation and coordinate with non-manual employees.
- Ex- Team leaders, Office manager
- Direct supervision, take assignment

* Management Skills

→ Technical Skills ⇒ Expertise in specific tasks. Ex- Engineering skills, computer programming, financial analysis. Essential for low level manager and technical specialists.

→ Human Skills ⇒ Ability to work with, understand & motivate individuals and groups. Ex- communication, empathy, conflict resolution, teamwork. Needed for all levels.

→ Conceptual Skills ⇒ Strategic thinking and decision making. Ex- Critical thinking, problem-solving, strategic planning. For top-level manager.

* Organizational Hierarchy

- Arrangement of individuals within the organization according to power, status and job function.
- Helps to define roles, responsibility and lines of authority to ensure smooth communication and control.
- Types -
 - 1) Functional Structure
 - 2) Divisional Structure
 - 3) Matrix Structure
- It gives clarity among roles, coordination, accountability and scalability by adding new layers of departments.

* Social and Ethical Responsibility of Management

- Managers are expected to act responsibly towards society by ensuring fair practices, sustainability and ethical behaviour.
- This includes -
 - Providing safe products
 - Protecting the environment
 - Treating employees fairly
 - Supporting community development
- Fulfilling these responsibility satisfies stakeholders [customers, employees and community].
- Positive reputation and reduces risks.

* Arguments for Social responsibility ^{of} ~~tasks~~ business

- Beyond profit, fulfills ethical duties (well-being) to society.
- Attracts customers and investors.

- Enhances company image and brand.
- Promotes long-term profitability.
- Reduces govt. regulation.

* Arguments against social responsibility of business

- Primary goal should be profit maximization.
- Increases business cost if they aim towards labour etc.
- Managers may lack social skills.
- Distracts from core business function (profit)
- Not all stakeholders may benefit equally.

* Social Stakeholders

- They are individuals or groups that share interest in the actions, decisions and performance of an organization.
- Types -
 - Internal : Employees, shareholders, management
 - External : Customers, suppliers, govt, community, NBO's [These groups can influence company's actions].

* Measuring Social Responsibility Responsiveness and Managerial Ethics.

- Social Audits - Evaluating Corporate Social Responsibility (CSR) activities.
- Sustainability Reports of Environment.
- Stakeholder Feedback through surveys or interviews or complaints.
- Environmental and ethical performance indicators.
- Ethical Business practice or through legal actions.

- Social responsiveness refers to a company's ability to respond to social, ethical and environmental concerns. Includes CSR, community engagement and sustainability efforts.
- Managerial Ethics involves moral principles that guide manager's behaviour. Ethical managers act with fairness, integrity and transparency in decision making and stakeholder interactions.
- Integrity of words & actions
- Respect for others, fairness, professional competence

* Omnipotent VS Symbolic View

Omnipotent	Symbolic
→ Managers have significant control over outcomes.	→ Managers have limited influence, act as symbols.
→ ^{focus on} Control over organizational performance.	→ ^{focus on} Symbolic representation of organization.
→ Manager ^{responsible} → Failure	→ More symbolic, less impact on outcomes.
→ Manager makes critical decisions.	→ Decisions may have symbolic significance.
→ Emphasizes on strong leadership.	→ Emphasizes on perception and image.
→ Managers seen as key drivers of success.	→ Managers seen as symbols of organization.

* Characteristics and importance of organizational culture

Characteristics —

- Shared values and beliefs
- Performs different norms and rituals and respect each other.
- Symbols and language.
- Strong internal social control.

Importance —

- Shapes employees behaviour
- Enhances unity and identity
- Affects motivation and performance
- Supports organizational goals.

* Relevance of political, legal, economic and cultural environments to Global Business.

- Political Environment $\Rightarrow$ Affects stability, policies and business freedom. Trade relations and Tariffs affect business. Type of govt like terrorism, monarch affect.
- Legal Environment $\Rightarrow$ Involves law on trade, labor, and intellectual property & rights (patent, trademark, copyrights) that should be followed by business.
- Economic Environment $\Rightarrow$ Includes inflation, interest rates and exchange rates that influence profitability.
- Cultural Environment $\Rightarrow$ Impacts communication, consumer behaviour and management style across countries.

* Structures & Techniques Organization use as they go international

→ Structure

- Exporting ⇒ Selling goods abroad
- Joint Ventures ⇒ Partnerships with local firms
- Franchising ⇒ Using brand and processes in foreign markets
- Wholly owned subsidiaries ⇒ Full control over foreign operation.

→ Techniques

- Market research and analysis
- Cross cultural training
- Strategic alliance
- International marketing and localization